Exercise 3

# Exercise 3 — Libby's Company, balance sheet from a list of accounts

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*Prepare the balance sheet of Libby's Company using the following figures (in euros):*

| *Account* | *€* | *Account* | *€* |
|---|---|---|---|
| *Short-term (current) loan debts* | *15,500* | *Accounts payable* | *1,500* |
| *Long-term loan debts* | *3,000* | *Equipment* | *13,000* |
| *Money on its bank account* | *3,000* | *Raw materials (purchased this year but not used yet)* | *12,500* |
| *Cash* | *500* | *Furniture* | *1,500* |
| *Paid-in capital* | *12,000* | *Retained earnings from the year* | *2,000* |
| *Accounts receivable* | *3,500* | | |

## Phase 1 — Setup: what has to be done

Every account is already a balance-sheet item: there are no revenues or expenses. The task is pure **classification** into the five blocks of [Slide 18] and a check that the totals agree.

## Phase 2 — Frames: classification of every account

| Account | Block | Reason |
|---|---|---|
| Equipment | Non-current asset | Long-lived resource [Slide 15] |
| Furniture | Non-current asset | Long-lived resource [Slide 15] |
| Raw materials (not used yet) | Current asset (inventory) | Will be used within the year [Slide 14] |
| Accounts receivable | Current asset | Turned into cash within the year [Slide 14] |
| Bank account | Current asset (cash) | [Slide 14] |
| Cash | Current asset (cash) | [Slide 14] |
| Paid-in capital | Equity: contributed capital | [Slide 17] |
| Retained earnings from the year | Equity: retained earnings | Earnings not paid as dividends [Slide 13] |
| Long-term loan debts | Long-term liability | Not paid within the year [Slide 16] |
| Short-term loan debts | Current liability | Paid within the year [Slide 16] |

| Account | Block | Reason |
|---|---|---|
| Accounts payable | Current liability | Owed to suppliers, short term [Slide 13, Slide 16] |

## Phase 3 — Derivation

### Step 1. Block totals

$$\text{Non-current assets} = 13{,}000 + 1{,}500 = 14{,}500$$

$$\text{Current assets} = 12{,}500 + 3{,}500 + 3{,}000 + 500 = 19{,}500$$

$$\text{Equity} = 12{,}000 + 2{,}000 = 14{,}000$$

$$\text{Long-term liabilities} = 3{,}000, \qquad \text{Current liabilities} = 15{,}500 + 1{,}500 = 17{,}000$$

### Step 2. Balance sheet

| Assets | € | Liabilities and equity | € |
|---|---:|---|---:|
| Equipment | 13,000 | Paid-in capital | 12,000 |
| Furniture | 1,500 | Retained earnings | 2,000 |
| **Non-current assets** | **14,500** | **Equity** | **14,000** |
| Raw materials | 12,500 | Long-term loan debts | 3,000 |
| Accounts receivable | 3,500 | **Long-term liabilities** | **3,000** |
| Bank account | 3,000 | Short-term loan debts | 15,500 |
| Cash | 500 | Accounts payable | 1,500 |
| **Current assets** | **19,500** | **Current liabilities** | **17,000** |
| **Total assets** | **34,000** | **Total liabilities and equity** | **34,000** |

### Phase 4 — Interpretation and checks

- **Balance:** $14{,}500 + 19{,}500 = 34{,}000 = 14{,}000 + 3{,}000 + 17{,}000$.
- **Financial structure** [Slide 36]: liabilities $L = 3{,}000 + 17{,}000 = 20{,}000$, equity $E = 14{,}000$, $E + L = 34{,}000$:

$$\%E = \frac{14{,}000}{34{,}000} = 41.2\%, \qquad \%L = \frac{20{,}000}{34{,}000} = 58.8\%, \qquad \frac{L}{E} = \frac{20{,}000}{14{,}000} = 1.43$$

The company has more debt than equity, and most of it (17,000 of 20,000) is due within the year: by [Slide 36], a high leverage indicates higher risk to shareholders.

- **Typical mistakes:** retained earnings are equity, not a liability; accounts receivable (owed **to** the company) are an asset, accounts payable (owed **by** the company) a liability.